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Paper 6B

Strategic Management

Revision Cards

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CHAPTER 1

Introduction to Strategic Management

1.1 Meaning, nature, importance and limitations of strategic management

1 **Define strategic management (SM 1.8).**

A The managerial process of developing a strategic vision, setting objectives, crafting a strategy, implementing and evaluating the strategy, and initiating corrective adjustments where deemed appropriate; it keeps going in a cyclic manner.

2 **Define strategy as the Study Material does.**

A A long-range blueprint of an organisation's desired image, direction and destination: what it wants to be, what it wants to do, how it wants to do things and where it wants to go; the game plan to take market position, conduct operations, attract and satisfy customers, compete and achieve objectives.

3 **Glueck's definition of strategy?**

A A unified, comprehensive and integrated plan designed to assure that the basic objectives of the enterprise are achieved.

4 **Ansoff's definition of strategy?**

A The common thread among the organisation's activities and product-markets that defines the essential nature of business it is in or plans to be in.

5 **What is a proactive strategy, and what is a reactive strategy?**

A Proactive: planned actions by managers to improve market position and financial performance. Reactive: an adaptive reaction to unanticipated developments and fresh market conditions.

6 **What are the two overall objectives of strategic management?**

A To create competitive advantage so that the company can outperform competitors, and to guide the company successfully through all changes in the environment.

7 **The seven benefits of strategic management, in order?**

A Direction; proactive instead of reactive; framework for major decisions; prepares for the future (pathfinder); corporate defence mechanism; enhances longevity; develops core competencies and competitive advantages.

8 **The four limitations of strategic management, in order?**

A The environment is complex and turbulent; it is time-consuming; it is costly; it is difficult to estimate competitive responses.

9 **Why do businesses use strategic management despite its limitations?**

A Because its importance outweighs its shortcomings; a business cannot operate and succeed without proper strategic management.

10 **What was strategic management originally called?**

A Business policy.

11 **Can a strategy be perfect, flawless and optimal?**

A No. Strategy is flexible and pragmatic; a sound strategy makes allowances for possible miscalculations and unanticipated events.

1.2 Strategic intent: vision,

mission, goals and values

12 **What is strategic intent?**

A The purposes the organisation strives for: "why they want to do" what they want to do; the philosophical base of strategic management, giving the framework and direction for achieving strategic objectives.

13 **In what forms is strategic intent expressed at the corporate and business levels?**

A Corporate level: vision and mission statements. Business level: business definition and business model. In precise terms: goals and objectives.

14 **Define vision (SM 1.14).**

A The blueprint of the company's future position; it describes where the organisation wants to land and gives a glimpse of what it would like to become in future.

15 **The four essentials of a strategic vision?**

A Thinking creatively about preparing the company for the future; an exercise in intelligent entrepreneurship; creates enthusiasm among members; the best-worded statement clearly illuminates the direction.

16 **Define mission (SM 1.14).**

A It delineates the firm's business, its goals and ways to reach them; explains the reason for its existence in society; defines present capabilities, activities, customer focus and role in society.

17 **The seven reasons an organisation should have a mission?**

A Unanimity of purpose; basis for allocating resources; basis for motivating the use of resources; general tone or climate; focal point; translating objectives into a work structure; specifying purposes so cost, time and performance can be controlled.

18 **Drucker: how should "What business are we in?" be answered?**

A With a marketing or external perspective, not restated as production activities (Lakme: "In the factory we make cosmetics; in the retail outlet we sell hope").

19 **Define objectives (SM 1.20).**

A The organisation's performance targets, the results and outcomes it wants to achieve; yardsticks for tracking performance and progress.

20 **The ten characteristics of objectives?**

A Define relationship with the environment; facilitate the mission; basis for strategic decisions; standards for appraisal; concrete and specific; time frame; measurable and controllable; challenging; correlated; within resource and environmental constraints.

21 **The seven areas of long-term objectives?**

A Profitability, productivity, competitive position, employee development, employee relations, technological leadership, public responsibility.

22 **Define values and give the Study Material's examples.**

A Deep-rooted principles that guide decisions and actions; inherent and sacrosanct, never compromised for convenience or short-term gain. Examples: integrity, trust, accountability, humility, innovation, diversity.

23 **Intent or values: which is wider, per the Study Material?**

A Values: intent is the purpose of doing business, values the principles that guide decisions, and intent is sometimes driven by values.

1.3 Strategic levels: network, corporate, business and functional

24 **Who makes up the corporate level of management?**

A The CEO, other senior executives, the board of directors and corporate staff.

25 **The role of corporate-level managers (SM 1.24–1.25)?**

A To oversee the development of strategies for the whole organisation: define the mission and goals, determine what businesses it should be in, allocate resources among them, formulate and implement strategies that span businesses, provide leadership, and manage divestments and acquisitions.

26 **Why is the CEO called a guardian of shareholders' welfare?**

A Corporate-level managers link those who oversee strategic development with the shareholders who own the firm, and must ensure corporate and business strategies are consistent with maximising shareholders' wealth.

27 **What is a strategic business unit (SBU)?**

A A self-contained division with its own functions (finance, purchasing, production, marketing) that provides a product or service for a particular market.

28 **The strategic role of business-level managers?**

A To translate the general statements of direction and intent from the corporate level into concrete strategies for individual businesses.

29 **The strategic role of functional-level managers?**

A To develop functional strategies that help fulfil objectives set at higher levels, provide most of the information for realistic strategies, generate ideas from closeness to customers, and implement corporate and business plans.

30 **Corporate, business and functional strategy: which question does each answer?**

A Corporate: where to compete? Business: how to compete? Functional: how to implement the business strategy?

31 **The three networks of relationship between strategic levels?**

A Functional and divisional (independent), horizontal (flat), matrix (grid-like, temporary task-based teams).

32 **When does the horizontal relationship suit an organisation?**

A In start-ups, where ideas must be shared with speed; it is a flat structure leading to openness, transparency, idea sharing and innovation.

33 **When is the matrix relationship useful, and when is it a problem?**

A Extremely useful for large organisations and huge conglomerates with temporary cross-functional projects; complex for smaller organisations.

34 **Top-down versus bottom-up decision making?**

A Top-down: decisions made solely by leadership at the top (corporate level). Bottom-up: all teams across the levels have a voice.

CHAPTER 2

Strategic Analysis: External Environment

2.1 International and macro environment: PESTLE

1 **Define business environment (SM 2.9).**

A All external factors, influences or situations that in some way affect business decisions, plans and operations.

2 **Five ways in which a business's interaction with its environment helps it?**

A Determine opportunities and threats; give direction for growth; continuous learning; image building; meeting competition.

3 **Micro environment: meaning and constituents?**

A The immediate periphery of the organisation, influencing it regularly and directly: suppliers, consumers, marketing intermediaries, competitors.

4 **Macro environment: meaning?**

A The part of the outside world that significantly affects how an organisation operates but is much beyond its direct control: economic, socio-cultural, technological, political and legal factors.

5 **What does PESTLE stand for, and what was it called before?**

A Political, economic, socio-cultural, technological, legal, environmental. Earlier PEST; later expanded to include legal and environmental factors.

6 **Advantage of PESTLE analysis (SM 2.16)?**

A Simple to understand and quick to implement; it encourages management into proactive and structured thinking in decision making.

7 **How does the socio-cultural environment differ from the demographic environment?**

A Demographics are the characteristics of a population (age, gender, income); socio-cultural factors are its behaviour and belief system.

8 **Two major limitations of strategic analysis?**

A It gives many options but does not tell which to pick; it can be time-consuming, hurting functioning and other innovations.

9 **Three characteristics of a global business?**

A Multiple units in different parts of the globe linked by common ownership; a common pool of resources; units responding to some common strategy.

10 **Steps in international strategic planning, in order?**

A Evaluate global opportunities and threats against internal capabilities; describe the scope of global operations; create global business objectives; develop distinct corporate strategies.

11 **Three levels at which the international environment is assessed?**

A Multinational (global, large scale), regional (a specific geographical area), country (economic, legal, political and cultural dimensions of each country).

12 **The first and foremost reason why businesses go global?**

A The need to grow.

2.2 Defining the industry: value

chain and product life cycle

13 **What are the five characteristics of business products in the Study Material?**

A Products are tangible or intangible; product has a price; products have features that deliver satisfaction; product is pivotal for business; a product has a useful life.

14 **Define the product life cycle (PLC).**

A An S-shaped curve showing the relationship of sales with respect to time for a product passing through four successive stages: introduction, growth, maturity and decline. It works for businesses too.

15 **PLC: features of the introduction stage?**

A Slow sales growth (customers unaware), competition almost negligible, prices relatively high, markets limited.

16 **PLC: features of the maturity stage?**

A Slowdown in growth rate, tough competition, stabilised market, profit down because of stiff competition; the firm works to maintain stability.

17 **PLC: what strategic choice suits each stage?**

A Introduction and growth: expansion may be feasible. Maturity: a source of cash for other businesses. Decline: a combination such as selective harvesting and retrenchment (or diversification).

18 **What is the main advantage of the PLC approach?**

A It can diagnose a portfolio of products or businesses to establish the stage of each, with particular attention to declining ones, so that a balanced portfolio can be built.

19 **Define value chain analysis.**

A A method of examining each activity in the value chain of a business to identify areas for improvement: how each stage adds or subtracts value from the end product or service.

20 **Value chain: the five primary activities?**

A Inbound logistics, operations, outbound logistics, marketing and sales, and service.

21 **Value chain: the four support activities?**

A Procurement, technology development, human resource management, and infrastructure.

22 **Value chain: what is procurement?**

A The processes for acquiring the various resource inputs to the primary activities, not the resources themselves; it occurs in many parts of the organisation.

23 **On what three factors does a company's profitability depend?**

A The value customers place on its products, the price it charges, and the costs of creating those products.

24 **Value creation figure: what are customer's surplus, firm's margin and the profitable pricing band?**

A Customer's surplus = value to customer − price; firm's margin = price − firm's cost of value creation; the profitable pricing band runs from the cost of value creation up to the value to the customer.

2.3 Porter's five forces

25 Porter's five forces: in which five areas do competitive pressures operate?

A Rivalry among existing sellers; threat of new entrants; substitutes from companies in other industries; supplier bargaining power and supplier-seller collaboration; buyer bargaining power and seller-buyer collaboration.

26 What are the three steps in using the five forces model?

A (1) Identify the specific competitive pressures of each force; (2) evaluate how strong each is (fierce, strong, moderate to normal, weak); (3) determine whether their collective strength is conducive to attractive profits.

27 Define barriers to entry.

A Economic forces (or hurdles) that slow down or impede entry by other firms; existing firms try to raise them to discourage new entrants.

28 Name the seven common barriers to entry in ICAI's order.

A Capital requirements, economies of scale, product differentiation, switching costs, brand identity, access to distribution channels, possibility of aggressive retaliation.

29 **When do buyers have bargaining power over an industry?**

A When they have full knowledge of sources and substitutes; when they are big buyers; when the product is not critical to them and they are more concentrated than the suppliers, so they can easily switch.

30 **When do suppliers command bargaining power?**

A When their products are crucial to the buyer and substitutes are not available; when they can erect high switching costs; when they are more concentrated than their buyers.

31 **Under what six conditions does rivalry tend to be cut-throat?**

A Industry leader (no strong leader to discipline price wars), number of competitors, high fixed costs, exit barriers, lack of product differentiation, slow growth.

32 **What are substitute products in Porter's model?**

A Products of companies in other industries that perform the same or nearly the same function; a latent source of competition that limits prices and profits (coir suffered at the hands of synthetic fibre).

33 **Is industry attractiveness absolute?**

A No. Attractiveness is relative, not absolute: an industry unattractive to weak competitors may be attractive to strong competitors.

34 **Define the experience curve.**

A Akin to a learning curve: unit costs decline as a firm accumulates experience in terms of a cumulative volume of production ("we learn as we grow").

35 **What causes the experience curve?**

A Learning effects, economies of scale, product redesign and technological improvements in production.

36 **Experience curve: relevance in strategic management?**

A A barrier to entry for new firms; used to build market share and discourage competition (Maruti Suzuki); competitors may choose a market niche or segmentation based on demography or geography.

2.4 Understanding customers,

markets and competition

37 **Define a market as per the Study Material.**

A A place for interested parties, buyers and sellers, where items and services can be exchanged for a price; it may be physical or virtual.

38 **What are the four Ps of marketing?**

A Product, place, pricing and promotion.

39 **Distinguish a customer from a consumer.**

A A customer is the purchaser of products or services; a consumer is the one who consumes or utilises them. A customer may also be a consumer, or only a customer (a parent buys groceries consumed by the family).

40 **Define customer analysis.**

A An essential marketing component of any strategic business plan: it identifies target clients, determines their wants, and defines how the product meets those needs.

41 **What does customer analysis include?**

A Customer surveys, the study of consumer data, evaluation of market positioning strategies, development of customer profiles, and selection of the best market segmentation techniques.

42 **What factors influence consumer behaviour?**

A External influences (the company's marketing efforts and environmental elements), internal influences (motivation, attitudes), decision making, and post-decision processes.

43 **What are the stages of the consumer's decision-making process?**

A Problem recognition; search for desirable alternatives and list them; seek information on the alternatives and weigh their pros and cons; make a final choice. Then the outcome is evaluated after purchase.

44 **What is competitive strategy, and on what two criteria is it analysed?**

A How a firm competes in its business areas: how it expects to create and sustain a competitive advantage. Analysed on the creation of competitive advantage and the protection of competitive advantage.

45 **Define competitive landscape.**

A A business analysis which identifies competitors, direct or indirect, and lets the firm understand their vision, mission, core values, niche market, strengths and weaknesses; it requires competitive intelligence.

46 **What are the five steps to understand the competitive landscape?**

A Identify the competitor; understand the competitors; determine the strengths of the competitors; determine the weaknesses of the competitors; put all of the information together.

47 **Define key success factors (KSFs).**

A Those things that most affect industry members' ability to prosper in the marketplace: the strategy elements, product attributes, resources, competencies, capabilities and outcomes that spell the difference between profit and loss.

48 **Which three questions help identify an industry's KSFs?**

A On what basis do customers choose between competing brands? What resources and competitive capabilities does a seller need to succeed? What does it take to achieve a sustainable competitive advantage?

CHAPTER 3

Strategic Analysis: Internal Environment

3.1 Key stakeholders and Mendelow's matrix

1 **Define stakeholders as the Study Material does.**

A Any person or group of individuals, internal or external, that has an interest in, or impact on, the business or corporate strategy of the organisation; they have the power to influence its strategy or performance.

2 **What is the "coalition of stakeholders" view of the firm?**

A The firm is a coalition of all individuals and entities that have a stake in its success and can impact it, in contrast to the earlier view of the firm as an extension of its owners and shareholders alone.

3 **Mendelow's matrix: its other two names?**

A The stakeholder analysis matrix and the power-interest matrix.

4 **Mendelow: what do "power" and "interest" mean?**

A Power: the ability to influence organisation strategy or resources. Interest: how interested the stakeholders are in the organisation succeeding.

5 **Mendelow: key players?**

A High power, high interest (shareholders, CEO, board): fully engage them, make the greatest efforts to satisfy them, take their advice and keep them informed with all information regularly.

6 **Mendelow: keep satisfied?**

A High power, low interest (banks, government, customers in the Study Material's examples): put in enough work to keep them satisfied with their intended information on a regular basis.

7 **Mendelow: keep informed?**

A Low power, high interest (employees, vendors, suppliers, legal experts): inform them adequately so that no major issues arise; they give real-time feedback and areas of improvement.

8 **Mendelow: low priority?**

A Low power, low interest (business magazines, media houses): only monitor them, with minimal effort, watching for changes in their power or interest.

9 **Where does a big competitor sit in Mendelow's matrix, per the Study Material?**

A High power to impact strategy but potentially less interest in the rival's success: keep satisfied.

10 **Mendelow: what happens after an inadvertent GST contravention?**

A The Indirect Taxes Department moves from high power, low interest to high power, high interest, and media houses from low power, low interest to low power, high interest; the grid must be re-analysed.

11 **The five steps ICAI's answers give for using Mendelow's matrix?**

A Identify stakeholders; assess power and interest; plot them on the grid; develop strategies for each quadrant; monitor and adapt.

3.2 Strategic drivers

12 What do strategic drivers consider, per the Study Material?

A In assessing current performance, what differentiates an organisation from its competitors: its key markets, key customers, products and services, channels and competitive advantage.

13 The four key strategic drivers?

A Industry and markets; customers; products/services; channels.

14 Define a strategic group.

A Rival firms which have similar competitive approaches and positions in the market.

15 The four steps of constructing a strategic group map?

A Identify the differentiating competitive characteristics; plot firms on a two-variable map; assign firms in about the same strategy space to the same group; draw circles proportional to each group's share of total industry sales revenues.

16 **Typical variables for a strategic group map?**

A Price/quality range; geographic coverage; degree of vertical integration; product-line breadth; use of distribution channels; degree of service offered.

17 **Customer versus consumer?**

A The customer buys the product or service; the consumer finally uses or consumes it. Pricing focuses on the customer; value creation and design/usability on the consumer.

18 **New-product pricing: the three objectives in the Study Material?**

A A customer-centric approach; sufficient returns through a reasonable margin over cost; increasing market share.

19 **Synchro-marketing?**

A Used when demand is irregular (by season, part of the day or hour), causing idle or overworked capacity: alters the pattern of demand through flexible pricing, promotion and other incentives.

20 **Demarketing?**

A Marketing strategies to reduce demand temporarily or permanently when demand is overfull, aiming to reduce or shift it, not destroy it.

21 **Augmented marketing?**

A Additional customer services and benefits a product offers besides the core and actual product, elevating customer service to unprecedented levels (online repair, movies on demand).

22 **Enlightened marketing: its five principles?**

A Customer-oriented marketing, innovative marketing, value marketing, sense-of-mission marketing and societal marketing.

23 **The three types of channels?**

A Sales channel (intermediaries who sell to the end user), product channel (intermediaries who physically handle the product), service channel (entities that support the product during and after the sale).

3.3 Resources, capabilities

and core competence

24 **Core competency: Prahalad and Hamel's definition?**

A The collective learning in the organisation, especially coordinating diverse production skills and integrating multiple streams of technologies.

25 **Why can a core competence not be one skill?**

A Competency is a combination of skills and techniques; a core competence must be the integration of many resources, best seen as the sum of 5–15 areas of developed expertise.

26 **Prahalad and Hamel: the three areas in which major core competencies are identified?**

A Competitor differentiation, customer value, and application to other markets.

27 **Core competence: what does "customer value" require?**

A A fundamental benefit to the end customer: a real impact that is the reason the customer chooses to buy.

28 **Core competence: what does "application to other markets" require?**

A It must be applicable to the whole organisation, not one skill or area, and be used throughout the organisation to open up potential markets.

29 **The four criteria that make a capability a core competence?**

A Valuable, rare, costly to imitate and non-substitutable.

30 **Valuable capability: definition?**

A One that allows the firm to exploit opportunities or avert threats in its external environment.

31 **Non-substitutable capability: definition?**

A One with no strategic equivalent: there must be no strategically equivalent valuable resources that are themselves either not rare or imitable.

32 **The four characteristics of resources and capabilities on which sustainability of competitive advantage depends?**

A Durability, transferability, imitability and appropriability.

33 **Appropriability?**

A The ability of the firm's owners to appropriate the returns on its resource base: the question of who receives the returns.

34 **What are the "cultural capabilities" in a core competence?**

A The ability to manage change, the ability to learn, and teamwork.

3.4 SWOT analysis: combining external and internal analysis

35 **SWOT analysis: its primary objective?**

A To help organisations develop a full awareness of all the factors (external as well as internal) involved in making a business decision.

36 **SWOT: which elements are internal and which external?**

A Strengths and weaknesses are internal (attributes of the organisation); opportunities and threats are external (attributes of the environment).

37 **Define a strength (SWOT).**

A An inherent capability of the organisation which it can use to gain strategic advantage over its competitors.

38 **Define a weakness (SWOT).**

A An inherent limitation or constraint of the organisation which creates strategic disadvantage to it.

39 **Define an opportunity (SWOT).**

A A favourable condition in the organisation's environment which enables it to strengthen its position.

40 **Define a threat (SWOT).**

A An unfavourable condition in the organisation's environment which causes a risk for, or damage to, the organisation's position.

41 **When should SWOT analysis be implemented, per the Study Material?**

A Before all company actions: exploring new initiatives, revamping internal policies, considering opportunities to grow, or altering a plan midway.

42 **SWOT: its main benefit and its main criticism?**

A Benefit: it puts complex issues into a simple framework. Criticism: it does not generally provide for evaluating strengths, weaknesses, opportunities and threats in the competitive context.

43 **The three key reasons for SWOT analysis?**

A It provides a logical framework; it presents a comparative account; it guides the strategist in strategy identification.

44 **When is an opportunity also a threat?**

A When internal weaknesses do not allow the organisation to take advantage of it in the manner a rival can.

3.5 Porter's generic strategies

45 **Competitive advantage: the Study Material's definition?**

A A set of unique features of a company and its products perceived by the target market as significant and superior to the competition; profitability higher than the average for all companies in its industry.

46 **Porter's three generic strategies, and why "generic"?**

A Cost leadership, differentiation and focus; generic because any type or size of business firm, even a not-for-profit organisation, can pursue them.

47 **Cost leadership: when is it especially effective?**

A When the market has many price-sensitive buyers, when there are few ways to differentiate the product, when buyers do not care much about brand differences, and when there are many buyers with significant bargaining power.

48 **Cost leadership: the six measures to achieve it?**

A Prompt forecasting of demand; optimum utilisation of resources; economies of scale; standardisation for mass production; cost-saving and advanced technologies; resistance to differentiation till it becomes essential.

49 **Cost leadership: the four disadvantages?**

A Competitors may imitate cost reduction; it needs higher sales volume; minimising advertising, market research and R&D can prove expensive in the long run; technological advancement is a great threat.

50 **Differentiation: the three bases?**

A Product, pricing and organisation.

51 **Differentiation: the six measures to achieve it?**

A Offer utility matched to tastes; improve performance; high quality; rapid product innovation; enhance brand image and value; price on unique features and the customer's buying capacity.

52 **Differentiation: the three disadvantages?**

A Uniqueness is difficult to sustain in the long term; too high a price may make customers switch; it fails if its basis is not valued by customers.

53 **Focused cost leadership: does it charge the lowest prices in the industry?**

A Not necessarily: it charges low prices relative to the other firms competing within its narrow target market.

54 **Focus strategy: its two advantages and three disadvantages?**

A Advantages: premium prices; expertise makes it hard for rivals and entrants to compete. Disadvantages: firms without distinctive competencies cannot pursue it; limited demand means high costs; the niche may disappear or be taken over by larger competitors.

55 **Best-cost provider strategy: the two ways?**

A (a) A lower price than rivals for products of comparable quality and features; or (b) a similar price to rivals for products of much higher quality and better features.

56 **Cost leader against powerful suppliers?**

A It can absorb greater price increases from suppliers before it needs to raise prices for customers.

CHAPTER 4

Strategic Choices

4.1 Growth strategies: integration and diversification

1 **Growth/Expansion strategy: ICAI's definition?**

A It is implemented by redefining the business by enlarging the scope of business and substantially increasing investment in the business; it can be equated with dynamism, vigour, promise and success.

2 **Expansion strategy: its two major routes?**

A Intensification and diversification.

3 **Intensification: its three options?**

A Market penetration, market development and product development.

4 **Diversification: ICAI's definition?**

A An entry into new products or product lines, new services or new markets, involving substantially different skills, technology and knowledge.

5 **Concentric diversification: how is the new business linked?**

A Through process, technology or marketing; a spin-off from existing facilities and products, with synergy. Two directions: vertical and horizontal integration.

6 **Backward integration?**

A Creation of effective supply by entering the business of input providers, to increase own supply capability or lessen cost of production (a supermarket buying farms).

7 **Forward integration?**

A Moving forward in the value chain into business lines that use existing products, including distribution channels (a coffee bean maker merging with a café).

8 **Horizontal integrated diversification?**

A Acquiring similar businesses at the same stage of the production-marketing chain, or firms with complementary products or by-products, or competitors' products.

9 **Conglomerate diversification?**

A No linkages related to product, market or technology; disjointed from the existing businesses in every way, with no common thread (a cement maker making steel and rubber products).

10 **The four types of merger?**

A Horizontal, vertical, co-generic and conglomerate.

11 **Strategic alliance: definition?**

A A relationship between two or more businesses that enables each to achieve strategic objectives neither could achieve alone; partners stay independent, share benefits and control, and contribute until it is terminated.

12 **Strategic alliance: the four categories of advantage, and the major disadvantage?**

A Organisational, economic, strategic and political; the major disadvantage is sharing (of resources, profits, knowledge and skills).

4.2 Stability and retrenchment:

turnaround, divestment and liquidation

13 **Stability strategy: when is it typically pursued?**

A When the firm continues to serve the same or similar markets with the same or similar products, typically when products have reached the maturity stage or the firm has a sufficient share it needs to retain. It is not a "do nothing" strategy.

14 **Stability strategy: the five major reasons?**

A Product at maturity stage; staff comfortable with status quo; relatively stable environment; expansion may be perceived as threatening; consolidation after rapid expansion.

15 **Why do start-ups rarely aim for stability?**

A They are in the early stages of ideation and development, where speed and agility matter most; stability is meaningful when operations have expanded to full capacity and the business is mature.

16 **Strategic exits: when are they followed, and what are the three?**

A When an organisation substantially reduces the scope of its activity: turnaround, divestment and liquidation.

17 **Turnaround strategy: what is it?**

A Internal retrenchment, in which emphasis is laid on improving internal efficiency to reverse the process of decline.

18 **The six danger signals that a turnaround is needed?**

A Persistent negative cash flow; uncompetitive products or services; declining market share; deterioration in physical facilities; over-staffing, high turnover and low morale; mismanagement.

19 **Turnaround action plan: the five stages in order?**

A Assessment of current problems; analyse the situation and develop a strategic plan; implementing an emergency action plan; restructuring the business; returning to normal.

20 **Divestment strategy: definition?**

A The sale or liquidation of a portion of business, or a major division, profit centre or SBU; usually part of a restructuring plan, adopted when a turnaround has been attempted but proved unsuccessful.

21 **Divestment: the five reasons?**

A An acquired business proves a mismatch; persistent negative cash flows from a business; severity of competition; technological upgradation the firm cannot do; a better alternative for investment.

22 **Liquidation strategy?**

A Abandoning the activities totally, when neither turnaround nor divestment works.

23 **Combination strategy?**

A The firm combines the strategic alternatives (stability, expansion, retrenchment) in some permutation or combination to suit its specific requirements.

4.3 Ansoff's matrix and the ADL matrix

24 **Ansoff's matrix: what is it for?**

A A tool, proposed by Igor Ansoff, that helps businesses decide their product and market growth strategy: a device for identifying growth opportunities for the future.

25 **Market penetration?**

A Selling existing products into existing markets, by making more sales to present customers without changing products in any major way.

26 **Market development?**

A Selling existing products into new markets: new geographical markets, new product dimensions or packaging, new distribution channels or different pricing to attract different customers or create new segments.

27 **Product development?**

A Introducing new or modified products into existing markets; it may require the development of new competencies.

28 **Diversification (Ansoff): what is it and why is it risky?**

A Marketing new products in new markets; risky because it relies neither on the company's successful product nor on its position in established markets.

29 **Gucci in the Study Material: casual clothing in Chinese markets is which strategy?**

A Diversification (new product, new market). Luxury clothing in China is market development; casual clothing in Europe is product development; luxury clothing in Europe with new designs is penetration.

30 **ADL matrix: definition?**

A A portfolio analysis technique (named after Arthur D. Little) based on the product life cycle: a two-dimensional matrix of stage of industry maturity and the firm's competitive position.

31 **ADL: the four stages of industry maturity?**

A Embryonic, growth, mature and ageing.

32 **ADL: the five competitive positions?**

A Dominant, strong, favourable, tenable and weak.

33 **ADL: what is a "favourable" position?**

A It generally comes about when the industry is fragmented and no one competitor stands out clearly; market leaders have a reasonable degree of freedom.

34 **ADL: what is a "tenable" position?**

A The firm performs satisfactorily and can justify staying in the industry, but is generally vulnerable to increased competition from stronger, more proactive companies.

35 **ADL: strategies for a strong position in a mature industry?**

A Lower cost, focus, differentiate, grow with industry.

4.4 BCG and GE matrices

36 **BCG matrix: what do its two axes represent?**

A Vertical axis: market growth rate (a measure of market attractiveness). Horizontal axis: relative market share (a measure of company strength in the market).

37 **BCG: Stars?**

A Products or SBUs growing rapidly; they need heavy investment to maintain their position and finance rapid growth; the best opportunities for expansion.

38 **BCG: Cash cows?**

A Low-growth, high market share businesses; they generate cash, have low costs, are established and need less investment to maintain their share.

39 **BCG: Question marks?**

A Low market share businesses in high-growth markets (problem children, wildcats); they need a lot of cash to hold their share; left unattended they can become cash traps.

40 **BCG: Dogs?**

A Low-growth, low-share businesses; may generate enough cash to maintain themselves but have not much future; minimised by divestment or liquidation.

41 **BCG: the four post-identification strategies and their objectives?**

A Build (increase market share, even forgoing short-term earnings); Hold (preserve share); Harvest (increase short-term cash flow regardless of long-term effect); Divest (sell or liquidate, as resources can be better used elsewhere).

42 **BCG: the pairing of strategies with quadrants in ICAI's suggested answers?**

A Stars: build; question marks: hold; cash cows: harvest; dogs: divest.

43 **BCG: four limitations?**

A Difficult, time-consuming and costly; hard to define SBUs and measure share and growth; classifies current businesses with little advice for future planning; may over-emphasise market-share growth, leading to unwise expansion or divesting too quickly.

44 **GE matrix: its other names and its two dimensions?**

A "Stop-Light" strategy model, Business Planning Matrix, GE Nine-Cell Matrix, GE Model; dimensions: market attractiveness (vertical) and business strength (horizontal).

45 **GE matrix: what does each zone call for?**

A Green: expand, invest and grow. Amber/yellow: caution and managerial discretion. Red: retrenchment, divestment or liquidation.

46 **GE matrix: the cells of the top row (high attractiveness), from strong to weak?**

A Invest/Expand, Invest/Expand, Select/Earn.

47 **GE versus BCG: the two differences in the Study Material?**

A Market attractiveness replaces market growth and covers a broader range of factors; competitive strength replaces market share in assessing each SBU's position.

CHAPTER 5

Strategy Implementation and Evaluation

5.1 Formulation versus implementation: matrix, linkages and issues

1 **What are the five stages of strategic management?**

A (1) Developing a strategic vision and formulating the mission, goals and objectives; (2) environmental and organisational analysis; (3) formulation of strategy; (4) implementation of strategy; (5) strategic evaluation and control.

2 **Strategy formulation and implementation matrix: what are squares A, B, C and D?**

A A: sound formulation, weak implementation (move to B). B: sound and excellent (ideal). C: flawed and weak (redesign business model and implementation). D: flawed formulation, excellent implementation (redesign strategy first).

3 **Efficiency and effectiveness: the four cells?**

A 1 Efficient and effective: thrive. 2 Efficient, ineffective: die slowly. 3 Inefficient, effective: survive. 4 Inefficient, ineffective: die quickly.

4 **Why is cell 2 (efficient but ineffective) worse than cell 3?**

A Because cell 3 has the strategic direction that ensures effectiveness, even if too much input is used; to be effective is to survive, while efficiency is neither necessary nor sufficient for survival.

5 **Effectiveness versus efficiency in one line each?**

A To be effective is to do the right thing; to be efficient is to do the thing right.

6 **Forward and backward linkages?**

A Forward: the impact of formulation on implementation (structure and leadership style change for the new strategy). Backward: the impact of implementation on formulation (firms adopt strategies the present structure of resources can implement with some additional efforts).

7 **The issues in strategy implementation, in sequence?**

A Project implementation, procedural implementation, resource allocation, structural implementation, functional implementation, behavioural implementation (not necessarily one after another).

8 **Formulation versus implementation: which is entrepreneurial and which administrative?**

A Formulation is an entrepreneurial activity based on strategic decision-making; implementation is an administrative task based on strategic and operational decisions.

9 **Name four principal aspects of the strategy-execution process.**

A Any four of: budgets steering resources to critical activities; staffing with needed skills; supportive policies and procedures; best practices and continuous improvement; information and operating systems; motivating people; a supportive culture and work climate; internal leadership driving implementation.

10 **How can an organisation deal with strategic uncertainty?**

A Flexibility; diversification; monitoring and scenario planning; building resilience; collaboration and partnerships.

11 **Strategic planning versus operational planning: who is responsible for each?**

A Strategic planning is a senior management responsibility; operational planning is the responsibility of functional managers.

12 **Programme versus project?**

A A programme is a broad term including goals, policies, procedures, rules and steps for putting a plan into action, supported by funds; a project is a highly specific programme with predetermined time schedule and costs, funded through capital budgeting.

5.2 Strategic change and digital transformation

13 **What is strategic change?**

A A complex process that involves a corporate strategy focused on new markets, products, services and new ways of doing business, required when changes in environmental forces call for modified or new strategies.

14 **The three steps to initiate strategic change?**

A Recognise the need for change; create a shared vision to manage change; institutionalise the change.

15 **Kurt Lewin's three phases of change, in order?**

A Unfreezing the situation, changing to the new situation, refreezing.

16 **Lewin: why must change not come as a surprise?**

A Sudden and unannounced change would be socially destructive and morale lowering; unfreezing prepares members to accept it.

17 **H.C. Kellman's three methods for reassigning new patterns of behaviour?**

A Compliance (reward and punishment), identification (role models), internalisation (internal change of the individual's thought processes).

18 **When does refreezing occur?**

A When the new behaviour becomes a normal way of life, replacing the former behaviour completely, continuously reinforced so that it does not diminish or extinguish.

19 **Is Lewin's change process a one-time application?**

A No. It is continuous due to dynamism and the ever-changing environment; unfreezing, changing and refreezing is cyclical and remains continuously in action.

20 **Define digital transformation.**

A The use of digital technologies to develop fresh, improved or entirely new company procedures, goods or services.

21 **The four elements of change management in the digital transition?**

A Defining the goals and objectives; assessing the current state and identifying gaps; creating a roadmap for change; implementing and managing the change at every level.

22 **The five best practices for managing change in small and medium-sized businesses?**

A Begin at the top; ensure the change is both necessary and desired; reduce disruption; encourage communication; recognise that change is the norm, not the exception.

23 **The five pointers for navigating change during digital transformation?**

A Specify the aims and objectives; always communicate; be ready for resistance; implement changes gradually; offer assistance and training.

24 **Change readiness (definition)?**

A The ability to continuously initiate and respond to change in ways that create advantage, minimise risk and sustain performance.

5.3 Organisation structure and culture

25 **McKinsey 7S: which are the hard and which the soft elements?**

A Hard: strategy, structure, systems. Soft: shared values, style, staff, skills.

26 **McKinsey 7S: its limitations?**

A It ignores the external environment; does not clearly explain organisational effectiveness or performance; is static and less flexible for decision making; misses the real gaps in conceptualisation and execution of strategy.

27 **Chandler's view on strategy and structure?**

A Changes in strategy lead to changes in organisational structure; structure should be designed to facilitate the strategy, so structure should follow strategy.

28 **Symptoms of an ineffective organisational structure?**

A Too many levels of management; too many meetings attended by too many people; too much attention to interdepartmental conflicts; too large a span of control; too many unachieved objectives.

29 **Divisional structure: the four bases?**

A Geographic area, product or service, customer, process.

30 **Divisional structure: why is it costly?**

A Each division needs paid functional specialists; staff, facilities and personnel are duplicated; well-qualified managers need higher salaries; it requires an elaborate headquarters-driven control system.

31 **SBU: the three most important characteristics?**

A A single business or collection of related businesses with scope for independent planning; its own set of competitors; a manager responsible for strategic planning and profit performance who controls profit-influencing factors.

32 **Matrix structure: the three conditions in which it is often found?**

A Ideas need to be cross-fertilised across projects or products; resources are scarce; abilities to process information and make decisions need to be improved.

33 **Davis and Lawrence: three phases of matrix development?**

A Cross-functional task forces; product/brand management; mature matrix.

34 **Network structure: its disadvantages?**

A Numerous potential partners can be a source of trouble; contracting out may prevent synergies from combining activities; over-specialising risks choosing the wrong functions and becoming non-competitive.

35 **Hourglass structure: benefits and drawback?**

A Reduced costs; faster, simpler decision making with authority close to the source of information. Drawback: fewer promotion opportunities, monotony and low motivation (met by challenging tasks, lateral transfers and rewards).

36 **What is corporate culture?**

A A company's values, beliefs, business principles, traditions, ways of operating and internal work environment.

5.4 Strategic leadership

37 **What does strategic leadership do?**

A Sets the firm's direction by developing and communicating a vision of the future, formulates strategies in the light of the internal and external environment, brings about changes required to implement them, and inspires staff to contribute to strategy execution.

38 **The five leadership roles in pushing for good strategy execution?**

A Staying on top of what is happening; promoting a culture of esprit de corps; keeping the organisation responsive to changing conditions; exercising ethical leadership; pushing corrective actions.

39 **Name eight of the leadership roles a manager plays as strategic leader.**

A Any eight of: visionary, chief entrepreneur and strategist, chief administrator, culture builder, resource acquirer and allocator, capabilities builder, process integrator, crisis manager, spokesperson, negotiator, motivator, arbitrator, policy maker, policy enforcer, head cheerleader.

40 **The responsibilities of a strategic leader?**

A Making strategic decisions; formulating policies and action plans; ensuring effective communication; managing human capital; managing change; creating and sustaining a strong corporate culture; sustaining high performance over time.

41 **What is a managerial frame of reference?**

A The set of assumptions, premises and accepted wisdom that bounds a manager's understanding of the company, its industry and the core competencies it exploits in pursuit of strategic competitiveness; the foundation of the manager's mindset.

42 **Transformational leadership: when may it be appropriate?**

A In turbulent environments, in industries at the very start or end of their life-cycles, in poorly performing organisations, when there is a need to inspire a company to embrace major changes.

43 **Transactional leadership: when may it be appropriate?**

A In static environments, in mature industries, and in organisations that are performing well.

44 **How does a transactional leader motivate?**

A Uses the authority of the office to exchange rewards such as pay and status; a formalised approach with clear goals and explicit rewards or penalties for achievement or non-achievement.

45 **Strategic leadership versus managerial leadership?**

A Strategic leadership sets direction through a vision and inspires people towards it; managerial leadership is generally concerned with short-term, day-to-day activities.

46 **Strategic leadership entails which four abilities?**

A To anticipate, envision, maintain flexibility, and empower others to create strategic change as necessitated by the external environment.

5.5 Strategic control and performance measures

47 **The elements of the process of control?**

A (a) Objectives operationalised into measurable and controllable standards; (b) a mechanism for monitoring and measuring performance; (c) a mechanism for comparing results with standards, detecting deviations and learning new insights on standards; (d) a mechanism for feeding back corrective and adaptive information.

48 **Operational control versus management control?**

A Operational control focuses on individual tasks or transactions and is mechanistic (procuring specific items for inventory); management control is more inclusive and aggregative, covering a complete department, division or the whole organisation (inventory management as a whole).

49 **Robert Anthony's definition of management control?**

A The process by which managers assure the resources are obtained and used effectively and efficiently in the accomplishment of the organisation's objectives.

50 **Schendel and Hofer: strategic control focuses on which dual questions?**

A Whether (1) the strategy is being implemented as planned, and (2) the results produced by the strategy are those intended.

51 **The four types of strategic control?**

A Premise control, strategic surveillance, special alert control, implementation control.

52 **Premise control monitors which two types of factors?**

A Environmental factors (economic, technology, social, legal-regulatory) and industry factors (competitors, suppliers, substitutes).

53 **Strategic surveillance?**

A Unfocussed, general monitoring of various sources of information (newspapers, business magazines, meetings, conferences) to uncover unanticipated information bearing on the strategy.

54 **Special alert control: what triggers it?**

A Unexpected events such as sudden changes in government, natural calamities, terrorist attacks, unexpected mergers or acquisitions by competitors and industrial disasters; crisis management teams handle them.

55 **The two basic forms of implementation control?**

A Monitoring strategic thrusts; milestone reviews.

56 **Types of strategic performance measures?**

A Financial, customer satisfaction, market, employee, innovation and environmental measures.

57 **Why are strategic performance measures essential?**

A Goal alignment, resource allocation, continuous improvement, external accountability.

58 **Factors in choosing the right strategic performance measures?**

A Relevance, data availability, data quality, data timeliness.